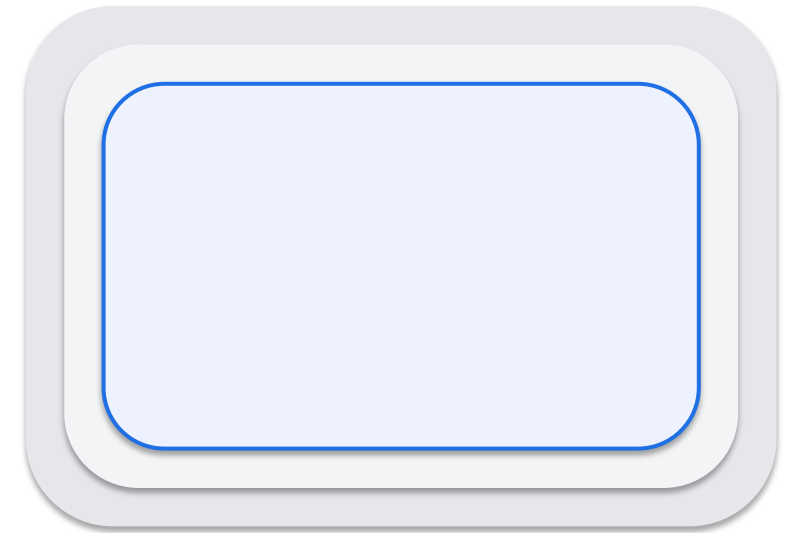


Generative AI's Act Two

From Technology Hammer to Real Value



Six Decades of Technological Progress Converged to En

Moore's Law

6 decades of compute

Accumulated capability → prerequisite for foundation models

The internet

4 decades of training data

Accumulated capability → prerequisite for foundation models

Mobile + cloud

2 decades of distribution

Accumulated capability → prerequisite for foundation models

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS

>\$1B

Startup revenue (months, not years)

SaaS took years to reach this milestone

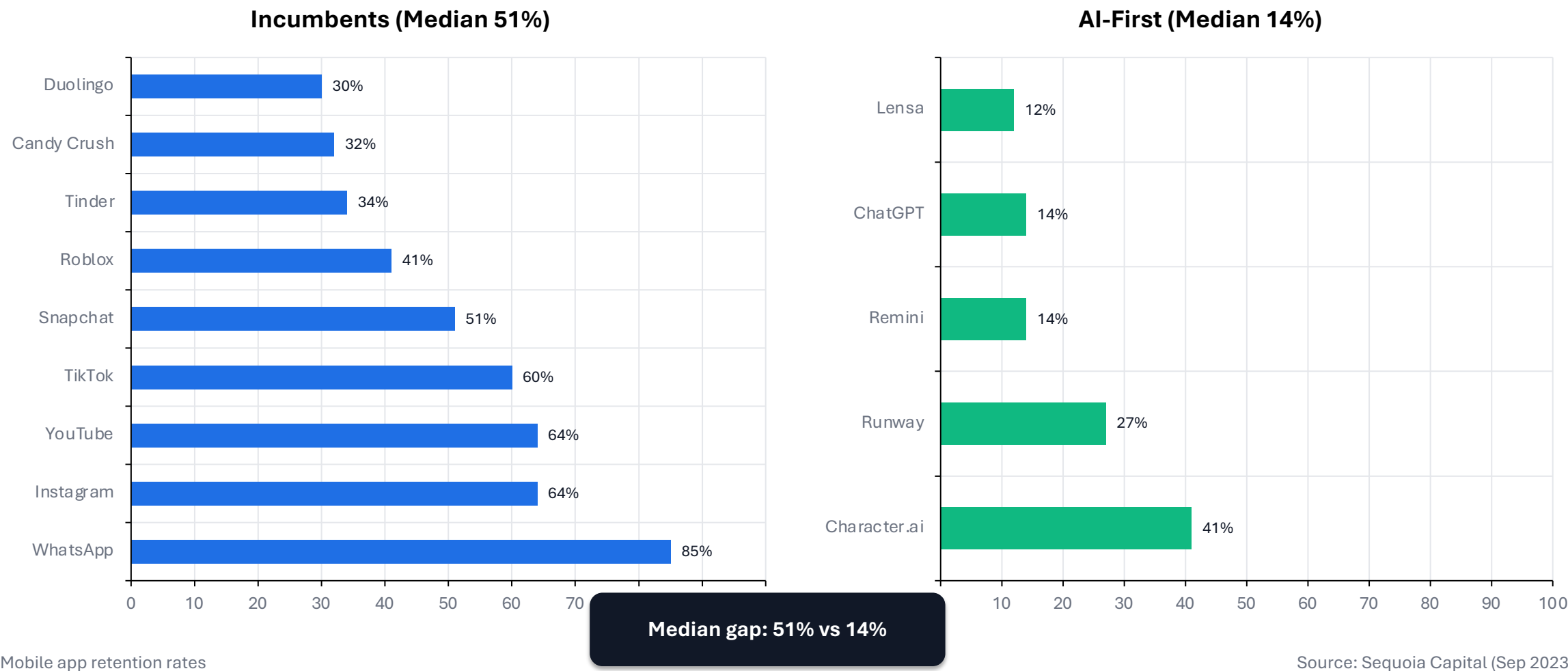
Standout signals

ChatGPT: fastest-growing application in history

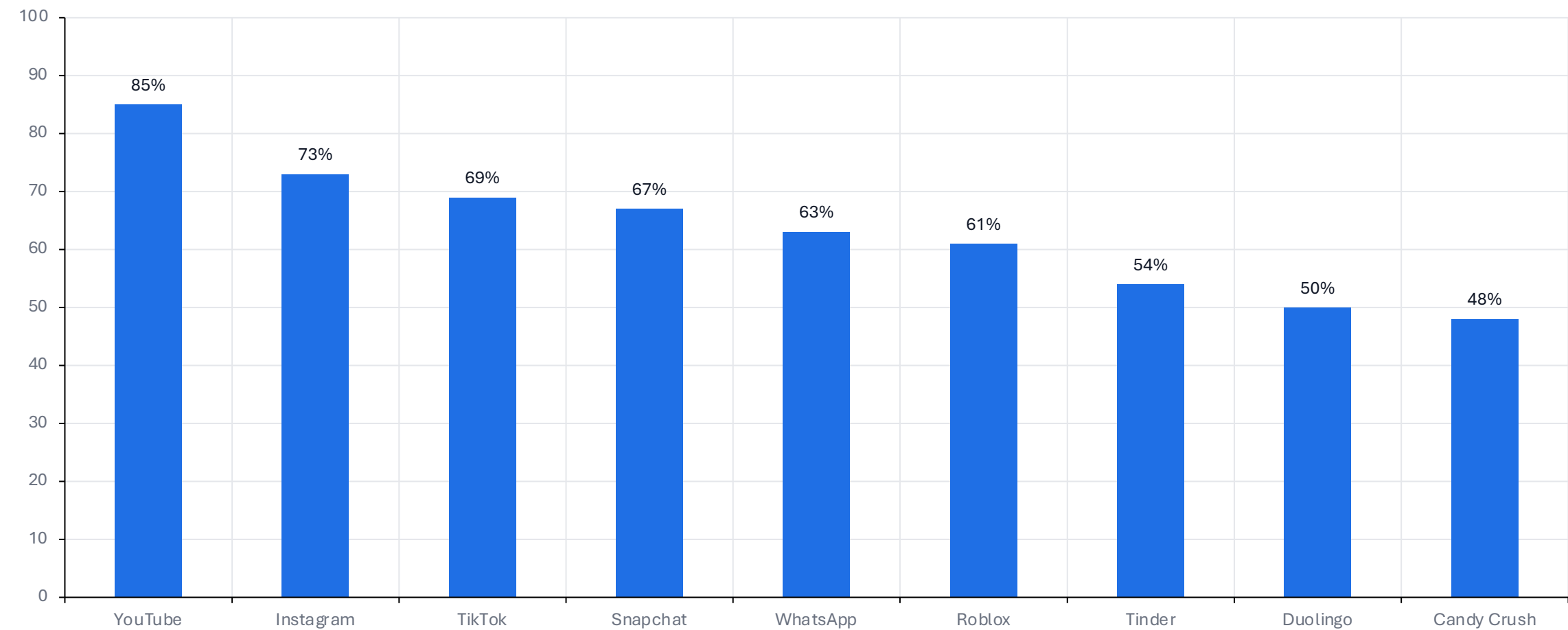
Midjourney: hundreds of millions in revenue with 11 employees

Character.ai: ~2 hours average session time

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



YouTube Leads Incumbents at 85% Monthly Active Usage



Incumbent monthly active usage benchmark
Median: 63%

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1 — Technology-Out

Foundation model = the entire solution

Novelty demos; lightweight wrappers

“Technology hammer” searching for nails

Poor stickiness → retention gap

ACT 2 — Customer-Back

Foundation model = one piece of a comprehensive solution

New editing interfaces → stickier workflows + better outputs

Often multi-modal

End-to-end problem solving (not thin wrappers)

Exemplars

Harvey

Glean

Market Map Reorganized by Use Case, Not Model Modality

Then (Act 1 framing)

Organized by model modality
Text • Image • Code
Technology hammer taxonomy



Now (Act 2 reality)

Organized by use case
Increasingly multi-modal applications
Examples: Harvey (legal), Glean (enterprise search)
Character + Ava (companionship)

Key Takeaways: What Separates Winners in Act Two

Retention is the critical challenge: AI-first median 14% vs incumbents 51%

Foundation models should be a component, not the whole product

Multi-modal, workflow-integrated solutions will win

\$1B+ in startup revenue proves real demand exists despite hype cycles

Companies solving end-to-end human problems define Act 2